

Overcoming the geopolitics of overcapacity through cooperation

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‘Overcapacity’ has become a buzzword in trade policy discussions, especially amid US–China trade tensions. While there is no consensus regarding its meaning and economic effects, overcapacity has been used as a major justification for trade sanctions against Chinese exports. But overcapacity is a global issue that requires multilateral cooperation and reform to address structural imbalances and restore trade stability.

For decades, the term has been used almost exclusively against China. The ‘[China shock](#)’ that followed China’s 2001 accession to the World Trade Organization (WTO) was a golden period of China’s rapidly growing industrial capacity. It led to massive influxes of Chinese exports into the United States and other economies.

Discussions about China’s overcapacity returned under the Biden administration. In 2024, [then treasury secretary Janet Yellen](#) and under secretary for international affairs [Jay Shambaugh](#) criticised China for creating excessive production capacity through industrial policies and subsidies across sectors like steel, solar panels and electric vehicles (EVs).

Overcapacity is not in itself necessarily a problem, at least not for trading partners. Governments’ key concerns are overcapacity’s underlying causes and spillover effects via artificially low-priced exports, widely labelled as ‘unfair trade practices’, causing injury to domestic industries.

In response, the Biden administration levied [high tariffs](#) on Chinese steel, EV and solar cells exports, which are perceived to have significant and enduring overcapacity issues. US President Donald Trump’s [2025 tariffs](#) against China — and [his trade policy](#) more broadly — target non-market policies and unfair trade practices to revitalise US manufacturing competitiveness and global leadership.

One could argue that the world now faces a ‘[China shock 2.0](#)’ driven by similar problems of Chinese industrial overcapacity. But China’s innovation and sustainability-oriented development strategies have generated selective industrial policies whose spillover effects may become increasingly concentrated in [strategic and emerging sectors](#) like advanced manufacturing and frontier technologies.

[Studies have found](#) no compelling evidence of an economy-wide overcapacity problem in China and argue that China needs time to make necessary industrial adjustments given declining domestic consumption. [China has contended](#) that other countries also have overcapacity issues in certain sectors — a view shared by [leading commentators](#). China has also sought to [reduce capacity](#) in traditional industries like steel to facilitate industrial restructuring and sustainable development while rolling out plans to [boost domestic consumption](#).

As trade tensions and strategic competition intensify, criticisms of overcapacity serve more political and strategic goals than purely economic interests. The prevailing narrative has centred on selected import-competing industries and [ignored these exports’ benefits](#) for other sectors and consumers. Responsive trade policies have been deployed largely to protect industries that are politically sensitive and strategically important. Viewed through this lens, China’s industrial overcapacity poses challenges for trading partners as it represents a quest for global leadership in key and emerging industries and critical supply chains.

For instance, thanks to Chinese industrial policies and extensive state support, [China dominates](#) global EV production and sales, alarming trading partners given the auto industry’s importance in many economies. The United States, [European Union](#), [Canada and Brazil have](#) imposed high tariffs on Chinese EV imports.

But unilateral trade sanctions have largely failed to compel China to reduce exports or production. China remains the world’s top producer and exporter [of steel, solar panels](#) and EVs despite facing high [antidumping and countervailing tariffs](#) and other restrictive measures for decades. In some cases, Chinese exporters absorbed the price increases resulting from tariffs. In other cases, Chinese firms redirected exports to or via third countries or relocated production overseas, an approach known as ‘tariff circumvention’.

In response, many economies have developed so-called [anti-circumvention instruments](#) which extend existing tariffs to the same or similar Chinese exports from third-country markets. Beijing also sought to counteract foreign sanctions through [WTO litigation](#) and [retaliatory measures](#).

Escalating trade restrictions — particularly [Trump’s 2025 tariffs](#) — have accelerated China’s pivot towards [domestic economic rebalancing](#). China has rolled out measures to redirect excess industrial output towards the domestic market. These include expanded consumer subsidies for durable goods, tax incentives for firms repurposing export production for domestic sale and initiatives to bolster rural and middle-class spending.

If sustained and properly executed, these policies could help absorb excess capacity in key sectors and ease the structural imbalances plaguing China’s growth model. The success of this [internal reorientation](#) will depend on whether China can overcome entrenched barriers to household consumption and reduce income inequality.

Actions against Chinese overcapacity exacerbate global trade uncertainty, distort commercial decisions and disrupt global supply chains. US tariffs against China can redirect Chinese exports to other markets, ratcheting up overcapacity pressure on the rest of the world. While other economies may also impose tariffs to constrain Chinese imports, they do not have the same capacity as the United States to sustain a trade war with China and their interests stand to become collateral damage.

It is time for governments to cooperate. The [US-China deal](#) reached on 12 May 2025 to scale back a significant portion of their respective tariffs and establish a mechanism for cooperative talks marks a step in the right direction, though the [future of global trade](#) depends on how negotiations progress.

But overcapacity is a global issue that cannot be resolved unilaterally or bilaterally. It requires multilateral reforms of the rules-based international trading regime, with the WTO at its core. While overcapacity was not discussed during negotiations for China’s entry into the WTO, it requires a detailed examination now with a particular focus on overcapacity’s underlying drivers like persistent demand shortfalls and industrial subsidies. This could help rebalance prevailing overcapacity narratives, restore confidence in multilateral trade governance and curb the drift towards unilateral trade actions.

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